

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Petition No. P4-16

PETITION OF THE COALITION FOR FAIR PORT PRACTICES FOR RULEMAKING

PETITION FOR LEAVE TO SUPPLEMENT THE RECORD

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March 30, 2017

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PETITION FOR LEAVE TO SUPPLEMENT THE RECORD

The Coalition for Fair Port Practices (“Coalition”) hereby submits this Petition for Leave to Supplement the Record (“Petition”) in the above-captioned proceeding pursuant to 46 C.F.R. § 502.69(a). With this Petition, the Coalition requests that the Federal Maritime Commission (“Commission” or “FMC”) accept into the record the Coalition’s Supplemental Comments attached to this Petition as Exhibit A. These Supplemental Comments are being submitted for the sole and limited purpose of clarifying and correcting the record in this proceeding. The Coalition submits that justice requires the acceptance of these comments to ensure an accurate and clear record and to assist the Commission with its evaluation of the important issues involved in this proceeding, as explained herein.

The Commission commenced this proceeding in response to a Petition for Rulemaking filed by the Coalition on December 7, 2016 (“Rulemaking Petition”). The Rulemaking Petition asked the Commission to adopt a policy statement that would provide guidance to the shipping industry regarding ocean carrier and marine terminal demurrage and detention practices that would be unjust and unreasonable under Section 10(d)(1) of the Shipping Act of 1984 (codified at 46 U.S.C. § 41102(c)). Specifically, the Coalition asked the Commission to adopt a policy statement clarifying unreasonable demurrage and detention practices when a party is prevented

from picking up cargo or returning equipment to a port as a result of port congestion or disruption that is beyond its control.

The Rulemaking Petition established that the Commission has clear authority to issue the policy statement under the current statute and prior Commission precedent involving free time, demurrage and detention practices. It also provided a strong factual basis establishing the need for the desired policy, based on fifteen verified statements and supporting letters from a broad cross-section of industry stakeholders that identify recent experiences with unjust and unreasonable detention and demurrage practices by ocean carriers and marine terminals. To ensure a thorough evaluation of the Rulemaking Petition, the Commission invited interested parties to submit comments in reply to the Rulemaking Petition no later than February 28, 2016.

After reviewing the comments, it is apparent that a number of organizations representing ocean carriers and marine terminal operators (“MTOs”) fail to comprehend the nature of the relief requested by the Coalition and have mischaracterized the policy statement as a request for a legislative rule. These comments also include incorrect and misleading statements concerning the legal basis for the Rulemaking Petition and the potential impact of the requested policy statement. Most notably, the World Shipping Council’s (“WSC”) assertion that the 1984 Shipping Act repealed the Commission’s authority to prescribe just and reasonable practices and regulations is a red herring.¹

The Rulemaking Petition does not ask the Commission to issue a legislative rule that would operate with the force of law. Instead, it seeks a policy statement that explains the Commission’s enforcement discretion under § 41102(c) regarding unjust and unreasonable demurrage and detention practices related to events of port congestion or disruption, which

¹ WSC Comments 5.

policy would be applied on a case-by-case basis.² As explained in the Supplemental Comments, WSC also misapplies the legislative-rule test from *American Mining Congress v. Mine Safety & Health Administration*, 995 F.2d 1106 (D.C. Cir. 1993); incorrectly claims that the Commission lacks jurisdiction to declare a demurrage or detention rate unjust or unreasonable; and misrepresents the Commission's decision in *Petition of the Association of Bi-State Motor Carriers, Inc.*, FMC Petition P3-02 (FMC served Feb. 20, 2004) to mean that the Commission's pre-containerization demurrage precedent cannot support adoption of the policy statement. The Supplemental Comments reveal these and other inaccuracies.

The Supplemental Comments explain why certain commenters' assertions that existing remedies are adequate to address the unreasonable demurrage and detention practices documented in the Rulemaking Petition, and that the policy statement will result in harmful consequences, have no merit. The Supplemental Comments also explain that these ocean carrier and marine terminal commenters fail to address that the absence of agency guidance on unjust and unreasonable demurrage and detention practices under § 41102(c) has had a chilling effect on complaints,³ and that their comments have other flaws.

Granting this Petition and accepting the Supplemental Comments will assist the Commission in its decision-making process and ensure a complete and accurate record on which to decide the important issues in this proceeding. The Commission should not ignore that this Petition arises in the context of a request for the Commission to institute a rulemaking proceeding to address a critical issue affecting U.S. shippers and drayage providers. In this

² See *Sec. Indus. & Fin. Mkts. Ass'n v. U.S. Commodity Futures Trading Comm'n*, 67 F. Supp. 3d 373, 418 (D.D.C. 2014) (quoting *Syncor Int'l Corp. v. Shalala*, 127 F.3d 90, 94 (D.C. Cir. 1997)) (explaining a policy statement "merely represents an agency position with respect to how it will treat—typically enforce—that governing legal norm.").

³ E.g., West Coast MTO Agreement ("WCMTOA") Comments 20-21; United States Maritime Alliance, Ltd. ("USMA") Comments 9.

context, it is more appropriate for the Commission to apply a more liberal policy towards accepting a supplemental filing than may otherwise apply in an adjudicatory proceeding where potential Shipping Act violations and/or the request for damages or reparations may be involved. Granting the Rulemaking Petition would merely result in the opening of a rulemaking proceeding in which interested parties will have another opportunity to provide comments on the desired policy statement.⁴ Thus, having a complete and accurate record in this proceeding is paramount. Moreover, any delay caused by acceptance of the supplemental filing is not a significant concern. The Commission is not subject to a deadline for ruling on the Petition and acceptance of these Supplemental Comments will not unduly prolong this proceeding or result in prejudice to the commenters.

Further, accepting these comments would not be unusual or out of the ordinary. The Commission has previously requested supplemental comments to ensure a thorough record for decision.⁵ Also, it has accepted motions to supplement the record in a petition proceeding.⁶ And it has accepted a reply to a reply “to ensure a full airing of the parties’ views.”⁷

⁴ Although the Commission is not required to provide notice and comment on the policy statement, Petitioners have requested a notice and comment proceeding to ensure broad participation in the development of the desired policy statement.

⁵ *Petition of United Arab Shipping Co.*, FMC Petition No. P1-14 (FMC served Jan. 13, 2015).

⁶ *Petition of the Nat’l Customs Broker & Forwarders Ass’n of Am., Inc.*, FMC Petition No. P1-08 (FMC served Jan. 5, 2010) (accepting a verified statement and reopening the record for submission of updated information); *Petition of United Parcel Service, Inc.*, FMC Petition No. P3-03 (FMC served Sept 2, 2004) (accepting supplemental comments and opening the record for responses).

⁷ *Ocean Common Carrier Status of Shanghai Hai Hua Shipping Co.*, FMC Docket No. 02-09, slip op. at 12 (FMC served Jan. 13, 2003).

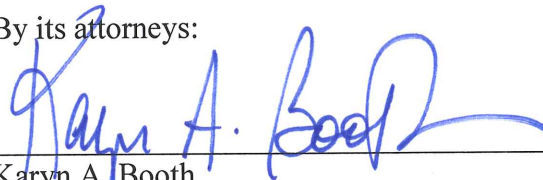
For the foregoing reasons, the Coalition respectfully request that the Commission grant this Petition and accept into the record the Supplemental Comments that are attached as Exhibit

A.

Respectfully submitted,

The Coalition for Fair Port Practices

By its attorneys:



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March 30, 2017

Certificate of Service

I hereby certify that I have this day served the foregoing document upon all prior participants in this petition proceeding by mailing or e-mailing a copy to each such person.

Dated this 30th day of March, 2017.



Jason D. Tutrone

Exhibit A

**BEFORE THE
FEDERAL MARITIME COMMISSION**

PETITION P4-16

**THE COALITION FOR FAIR PORT PRACTICES'
SUPPLEMENTAL COMMENTS**

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The Coalition for Fair Port Practices (“Coalition”) hereby files these Supplemental Comments in conjunction with its Petition for Leave to Supplement the Record. As explained in the Petition, these Supplemental Comments are filed in response to Comments submitted by several ocean carrier and marine terminal parties in Petition Docket P4-16, and especially the comments from World Shipping Council (“WSC”) and the National Association of Waterfront Employers (“NAWE”), which include a number of incorrect assertions and mischaracterize the relief requested by the Coalition. These Supplemental Comments are not intended to respond to every claim made by these parties but rather seek to address only the most egregious errors.

Specifically, these Supplemental Comments respond to ocean carrier and marine terminal comments and show that: (1) the Federal Maritime Commission (“FMC” or “Commission”) has ample legal authority and discretion to issue the policy statement proposed by the Coalition in its Petition for Rulemaking; (2) case precedent underlying prior Commission action to address port congestion in the bulk trades can support Commission action to address similar port congestion problems in today’s container trades; (3) the policy statement proposed by the Coalition would not constitute a legislative rule that is enforceable as a matter of law but would constitute guidance to the shipping industry regarding the Commission’s enforcement discretion to determine “unjust and unreasonable” demurrage and detention practices under 46 U.S.C. § 41102(c) and would be applied by the Commission in adjudications on a case-by-case basis;¹ (4) existing remedies are inadequate to address unreasonable demurrage and detention practices; and

¹ To the extent that the Commission determines that the policy statement is an interpretive rule, it still would not have the binding effect of a legislative rule. *Shell Offshore Inc. v. Babbitt*, 238 F.3d 622, 628 (5th Cir. 2001) (“‘[R]egulations,’ ‘substantive rules,’ or ‘legislative rules’ are those which create law; whereas interpretive rules are statements as to what the administrative officer thinks the statute or regulation means.”); *Gibson Wine v. Snyder*, 194 F.2d 329, 331 (D.C. Cir. 1952) (“An interpretive rule . . . does not have the full force and effect of a substantive [legislative] rule . . .”).

(5) the policy statement will provide helpful guidance to the shipping industry and will not create harmful unintended consequences. Accordingly, the Coalition respectfully requests that the Commission accept these Supplemental Comments in order to correct and clarify the record, and to assist the Commission in its evaluation of the important issues raised in this proceeding.

I. CLAIMS THAT THE FMC LACKS LEGAL AUTHORITY TO ISSUE THE PROPOSED POLICY STATEMENT ARE WRONG.

WSC and NAWE incorrectly claim that the Commission lacks the legal authority to issue a policy statement interpreting Section 10(d)(1) of the Shipping Act of 1984 (currently codified at 46 U.S.C. § 41102(c)) with respect to demurrage and detention practices.² To support their assertion, NAWE and WSC improperly conflate the Coalition’s request for interpretive guidance as to conduct that constitutes “unjust and unreasonable” demurrage and detention practices under § 10(d)(1) with prior statutory authority under the Shipping Act, 1916, (since removed) that authorized the Commission to “determine, prescribe and order enforced a just and reasonable regulation or practice” that is “relating to or connected with receiving, handling, storing, or delivery of property.”³

A. The Commission has Broad Authority and Discretion to Issue Interpretations of the “Just and Reasonable” Practices Standard in § 41102(c)

WSC’s and NAWE’s assertion that adoption of the policy statement requires the FMC to “prescribe regulations” under previously existing authority in the 1916 Act ignores that the Commission has ample authority to issue the proposed policy statement under the **current** statute. There is no dispute that the Commission is authorized to enforce § 41102(c), which requires ocean carriers and marine terminals “to establish, observe, and enforce just and

² World Shipping Council Comments 6-7; NAWE Comments 3-5.

³ NAWE Comments 4; WSC Comments 5-6. *See* Shipping Act, 1916, § 17, Pub. L. No. 64-269, 39 Stat. 728, 734-35 (1916).

reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property.” In fulfilling this statutory duty, the Commission is charged to determine what constitutes “unjust and unreasonable” cargo receiving, handling, storage and delivery practices. As explained in the Coalition’s Petition for Rulemaking, FMC precedent establishes that demurrage and detention fall within the scope of cargo handling, storing or delivering practices,⁴ and no party has asserted otherwise.

Under the 1984 Act, the FMC is afforded broad discretion to interpret the statute,⁵ including whether certain ocean carrier and marine terminal conduct constitutes **unreasonable** demurrage and detention practices in violation of § 41102(c). The Commission may exercise its enforcement discretion in several possible ways. For example, the agency may: (1) adjudicate complaints asserting a violation of § 41102(c) on a case-by-case basis; or (2) adopt a legislative rule that may be enforced as a matter of law through civil penalties;⁶ or (3) adopt an interpretive rule or policy statement that provides guidance to the industry regarding its enforcement intentions⁷ but still requires the filing and adjudication of complaints, based on particular facts and circumstances, before the agency would determine that a violation of § 41102(c) has occurred. As explained in Section I.C. below, “an agency action that merely explains how the agency will enforce a statute or regulation – in other words, how it will exercise its broad

⁴ Petition for Rulemaking at 25 (citing *Am. Export-Isbrandtsen Lines, Inc. v. Fed. Mar. Comm’n*, 444 F.2d 824, 829 (D.C. Cir. 1970)).

⁵ See *NLRB v. Bell Aerospace Co.*, 416 U.S. 267, 294 (1974) (holding that an agency has discretion to choose between rulemaking and adjudication).

⁶ See Shipping Act of 1984, § 17(a), 46 U.S.C. § 305 (2017) (“The Commission may prescribe rules and regulations as necessary to carry out its duties and powers.”).

⁷ *Sec. Indus. & Fin. Mkts. Ass’n v. U.S. Commodity Futures Trading Comm’n*, 67 F. Supp. 3d 373, 415 (D.D.C. 2014) (quoting *Nat’l Mining Ass’n v. McCarthy (NMA)*, 758 F.3d 243, 251 (D.C. Cir. 2014)).

enforcement discretion or permitting discretion under some extant statute or rule—is a general statement of policy.”⁸

Clearly, the Coalition’s request for a policy statement that explains the Commission’s enforcement discretion as to unjust and unreasonable demurrage and detention practices under § 41102(c) falls within the gamut of the Commission’s existing authority to declare a practice unreasonable. However, WSC and NAWE mischaracterize the requested relief as a legislative rule that would prescribe specific ocean carrier and/or marine terminal tariff rules that constitute reasonable demurrage and detention practices. But this is incorrect. A plain reading of the proposed policy statement establishes on its face that the Coalition is asking the FMC to provide guidance regarding conduct that would likely constitute unreasonable demurrage and detention practices under § 41102(c) and, thus, **could** lead to a violation of the Act.⁹ However, using the FMC’s guidance, ocean carriers and marine terminals are free to craft their own tariff rules consistent with the direction provided in the policy statement.

WSC and NAWE also take issue with the legality of the proposed policy statement to the extent that it seeks to limit demurrage and detention charges to a “compensatory rate,” which is defined in the proposed policy as “a cost not to exceed the actual storage or equipment costs.”¹⁰ Specifically, they claim that this aspect of the policy would require the FMC to engage in unauthorized ratemaking.¹¹ This claim has no merit. Although the 1984 Act eliminated a 1916 Act provision that authorized the FMC to set a specific rate or charge,¹² Commission decisions

⁸ *Id.*

⁹ See Petition for Rulemaking, Exhibit A.

¹⁰ See Petition for Rulemaking, Exhibit A, Proposed FMC Statement of Policy, subsection (d).

¹¹ WSC Comments 6; NAWE Comments 4-5.

¹² See Shipping Act, 1916, § 18, Pub. L. No. 64-269, 39 Stat. 728, 735 (1916).

issued under the 1984 Act confirm that the Commission's authority under § 41102(c) extends to determining if ocean carrier and terminal charges are just and reasonable.¹³ Specifically, in *Maher Terminals*, in explaining its authority under § 41102(c), the Commission stated that "[w]hen charges or fees are at issue, the inquiry is 'whether the charge levied is reasonably related to the service rendered.'"¹⁴ The Commission further stated that "[t]o assess whether a charge is reasonably related to a service, the Commission looks at the 'impact on the payer compared to other payers as well as the relative benefits received.'"¹⁵ The D.C. Circuit has also confirmed that the 1984 Act carried forward the pre-1984 prohibition against unjust and unreasonable charges, and therefore the agency can declare that the assessment of a particular charge is unreasonable when it fails to meet this standard.¹⁶ Accordingly, the just and reasonable standard under § 41102(c) Act applies to ocean carrier and marine terminal charges, even though the FMC no longer has express authority to set the precise level of the charge.

B. Prior Commission Precedent Concerning Free Time, Demurrage and Detention As a Result of Port Congestion In the Bulk Trades Can Be Applied to Similar Port Congestion Concerns in the Container Trades

WSC asserts that the Commission's repeal of its New York demurrage rules in 1993 demonstrates that the underlying Commission precedent that resulted in adoption of the just and reasonable free time and demurrage rules for the New York port is inapplicable to container

¹³ *E.g., Maher Terminals, LLC v. Port Auth.*, FMC Docket No. 12-02, slip op. at 11 (FMC served Dec. 18, 2015).

¹⁴ *Id.* (quoting *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm'n*, 390 U.S. 261, 282 (1968)).

¹⁵ *Id.* (citing *NPR, Inc. v. Bd. of Comm'rs*, 28 S.R.R. 1512, 1532 (ALJ 2000)).

¹⁶ *Plaquemines Port, Harbor & Terminal Dist. v. FMC*, 838 F.2d 536, 546-47 (D.C. Cir. 1988) (noting that Supreme Court precedent concerning just and reasonable rates and charges under the 1916 Act continued to apply under the 1984 Act, stating: "The Supreme Court held that 'the question under § 17 [now § 10(d)(1)] is not whether the petitioner has received some substantial benefit . . . , but whether the correlation of that benefit to the charges imposed is reasonable.'")

transportation.¹⁷ But WSC mischaracterizes the Commission's repeal of the New York demurrage rules as an acknowledgement that the legal underpinning of those rules does not (and cannot) apply to containerized cargo. In fact, the Commission repealed the New York demurrage rules because, at the time of the repeal in 1993, there was no **factual** basis—i.e., congestion at the Port of New York—to maintain the rules for either breakbulk or containerized cargo. The Commission's repeal of the rules had no bearing on whether Commission precedent underlying the rules could apply to similar port congestion concerns involving containerized cargo. Rather, the repeal was based on its determination that “the underlying conditions that existed when part 525 was promulgated have fundamentally changed and retention of the rule is no longer necessary.”¹⁸

Clearly times have changed. As explained in the Petition for Rulemaking, events of serious port congestion and disruption have occurred periodically for years. Current demurrage and detention practices during these periods are highly inconsistent, create inefficiencies, and, in many cases, appear to be unjust and unreasonable. As established in the Petition for Rulemaking, ocean carriers and terminals have required that substantial demurrage or detention payments be made up front in order for parties to retrieve cargo or return containers, even though the ports were inaccessible during periods of free-time due to port congestion or disruption events that were beyond their control.¹⁹ This circumstance is directly at odds with the policy underlying demurrage and detention, i.e. to facilitate the efficient removal of cargo or return of equipment during free time, and on its face appears to be unjust and unreasonable. The

¹⁷ WSC Comments 4-5.

¹⁸ Order Removing Free Time & Demurrage Rules & Suspending Truck Detention Rules at Port of New York, 58 Fed. Reg. 10983, 10984 (Feb. 23, 1993).

¹⁹ Petition for Rulemaking 14.

Commission should issue the policy statement to address these unfair practices and others as described in the Petition for Rulemaking.

During the severe congestion at US West Coast ports in 2014-2015, the Commission received numerous complaints from importers and exporters alleging unfair ocean carrier and terminal demurrage/detention practices. In response to serious port-congestion concerns at our nation's seaports, the Commission held hearings,²⁰ directed its staff to issue a special report on ocean carrier and marine terminal demurrage and detention practices involving periods of port disruptions,²¹ and established supply-chain innovation teams to consider port congestion amongst other issues.²² Thus, Respondents' claims that there is simply no factual basis to address unjust and unreasonable demurrage and detention practices belies the facts and the Commission's own actions.²³

Further, WSC fails to identify any difference between container and break-bulk transportation that would undermine the legal basis for the Commission's rules. This is not surprising. While carrier operations have changed since the Commission issued its New York demurrage rules in 1948, cargo still must be tendered for delivery free of charge during free time, regardless whether it is breakbulk or containerized cargo.²⁴ Certainly, containerization has made

²⁰ Bureau of Trade Analysis, Fed. Mar. Comm'n, *U.S. Container Port Congestion & Related International Supply Chain Issues* 6 (2015) [hereinafter *July 2015 Report*].

²¹ See *July 2015 Report*, *supra* note 19; Fed. Mar. Comm'n, *Report: Rules, Rates, and Practices Relating to Detention, Demurrage, and Free Time for Containerized Imports and Exports Moving Through Selected United States Ports* (2015) [hereinafter *April 2015 Report*].

²² Int'l Ocean Transportation Supply Chain Engagement, 81 Fed. Reg. 6263, 6264 (FMC Feb. 5, 2016).

²³ The Petition for Rulemaking included 15 verified statements and supporting letters that provided specific factual support for the opening of a rulemaking proceeding and adoption of the proposed policy statement.

²⁴ Perhaps understanding that there is no reason why containerization prevents the application of the Commission's demurrage precedent, WSC asserts that it has no duty to provide free time.

the delivery of cargo more efficient than in the breakbulk era, which explains why nobody commented on the removal of the New York demurrage rules in the early 1990s. But the containerized trades have grown considerably since the repeal of the New York demurrage rules. Recent experience demonstrates that the efficiency gains from containerization have been largely realized, and disruptions at ports around the country frequently inhibit ocean carriers from tendering cargo for delivery and accepting equipment return during free time, causing U.S. industry to suffer considerable losses. Thus, the very same motivations that prompted the Commission's predecessor to adopt the New York demurrage rules apply today, *i.e.* the need for the agency to address the apparent unfairness in allowing demurrage and detention assessments when the inability to pick up cargo or return equipment at a congested seaport is beyond the control of the shipper, trucker, or consignee.

Absent any clear basis for its claim that the Commission's demurrage precedent does not apply to containerized cargo, WSC resorts to mischaracterizing *Petition of the Association of Bi-State Motor Carriers, Inc.*, FMC Petition P3-02 (FMC served Feb. 20, 2004), as a refusal by the Commission to apply its demurrage precedent to a case involving trucker detention rules.²⁵ The Commission should not be fooled. *Bi-State* had nothing to do with the Commission's demurrage precedent. Instead, *Bi-State* refused to apply a line of Commission precedent under which marine terminal operators were required to pay truck detention charges to draymen who experience excessive waiting at a terminal.²⁶ However, the Commission did not deny *Bi-State*'s petition

This is irrelevant. The issue in this proceeding is not the adequacy of free time, it is that carriers agree to provide it as part of their transportation obligation, but fail to do so.

²⁵ WSC Comments 4. WSC's mischaracterization of *Bi-State* is glaring in light of its assertion that, "[i]n *Bi-State*, the Commission rejected petitioner's reliance on [*Free Time and Demurrage Charges at New York (New York I)*, 3 U.S.M.C. 89 (1948)]. In fact, *Bi-State* **never** mentions *New York I*.

²⁶ *Bi-State*, FMC Petition P3-02 at 1-2.

because the older precedent could not be used to support an FMC investigation into alleged unreasonable terminal practices (indeed, our legal system is built on the principle of *stare decisis*). Rather, it denied the petition because Bi-State provided “no probative evidence to show why the current truck detention practices should be considered unreasonable under the Shipping Act in the present commercial climate.”²⁷ Due to the lack of such evidence, the Commission found that Bi-State failed “to demonstrate how these cases support its current allegations.” The circumstances in *Bi-State* (*i.e.*, a request for an FMC investigation with little supporting evidence) are entirely different from the Coalition’s Petition for Rulemaking. Unlike Bi-State, the Coalition is not seeking an investigation, but rather has requested interpretive guidance in the form of a policy statement. Its Petition was supported by 15 verified statements and supporting letters and responded to the Commission’s own request for industry to bring forward information and ideas as to how to address unreasonable demurrage and detention practices.²⁸ Significantly, the Coalition’s Petition also thoroughly explained how the prior demurrage precedent supports the proposed action and why such precedent should apply to substantially similar causes of port congestion in the container trades.”²⁹

Also, the Coalition is not asking the Commission to initiate an investigation for the purpose of determining whether violations of the 1984 Act have in fact occurred. Rather, the

²⁷ *Bi-State*, FMC Petition P3-02 at 16.

²⁸ *E.g.*, Press Release, FMC, Chairman Mario Cordero Speaks at National Industrial Transportation League (Nov. 19, 2015) (noting that Chairman Cordero reminded the industry that the Commission welcomes submission of evidence concerning unreasonable demurrage or detention practices); William P. Doyle, Comm’r, FMC, Address to Agriculture Transportation Coalition Regarding Port Congestion (July 2, 2015), http://www.fmc.gov/doyle-agriculture-port_congestion/; Press Release, FMC, Staff Report on Detention, Demurrage, and Free Time Released (April 13, 2015) (quoting Chairman Cordero comment that “the industry is encouraged to submit substantive documentation and information of unreasonable practices regarding the application of demurrage or detention.”); *see April 2015 Report*, *supra* note 21 at 36, 40-41.

²⁹ Petition for Rulemaking 32-36.

Coalition is seeking interpretative guidance under § 41102(c) that will assist the shipping industry in engaging in reasonable free time, demurrage and detention practices on a going-forward basis.

Similarly, WSC's concern about the Commission disrupting the commercial apportionment of risk between carriers, shippers, and drayage providers is misplaced. By offering free time, ocean carriers have accepted the risk of tendering cargo for delivery and accepting equipment returns for the entire free-time period. Shippers and draymen have also accepted the risk that they will incur charges if they fail to pick up cargo and return equipment during free time, unless the carrier or MTO caused the failure.³⁰ Thus, WSC is really asking the Commission to ignore that ocean carriers and marine terminal operators have often shifted the risk for their failure to tender cargo for delivery and accept equipment for return by placing it on the backs of U.S. consignees and draymen in the form of demurrage and detention charges. In essence, WSC and NAWA are seeking **no** limit or boundaries to their determination as to when and how the commercial risk is allocated during periods of port congestion or disruption, contrary to § 41102(c).

Demurrage and detention should not operate as an independent revenue source for carriers and terminals when ports are not accessible due to congestion or other disruption events. Rather, these charges should facilitate the efficient pick up of cargo or return of equipment during periods of free time. But clearly the ports must be available in order for the purpose of demurrage and detention charges to be met. NAWA asserts that these issues should be addressed through commercial negotiation³¹ but this is disingenuous since the parties who must pay these

³⁰ See Petition for Rulemaking, Exhibit A, Proposed FMC Statement of Policy, subsections (c), (d).

³¹ NAWA Comments 8.

charges do not even contract with marine terminals. Also, it is widely recognized that small to midsize shippers and draymen lack the leverage required to achieve alternative free time and demurrage provisions in contracts with the ocean carriers. Thus, the Commission has an important role to play to ensure demurrage and detention practices and tariff rules are not unjust or unreasonable under § 41102(c).

C. WSC Misrepresents the Requested Relief as a Legislative Rule

Finally, WSC's claim that the proposed policy statement constitutes a legislative rule is based on a fundamental misunderstanding of the requested relief, as well as the law. First, the Petition for Rulemaking is clear that the relief requested is "a policy statement that provides guidance to the shipping industry regarding the FMC's interpretation of § 41102(c) in order to prevent the occurrence of unjust and unreasonable demurrage and detention practices by ocean common carriers and marine terminal operators." Petition for Rulemaking at 36. Thus, the policy statement proposed by the Coalition is designed to provide guidance to the industry regarding the FMC's enforcement intentions relative to unreasonable demurrage and detention practices that may violate § 41102(c), but it is not intended to be a legislative rule.

The D.C. District and Circuit Courts have recently explained the distinction between legislative and interpretive rules, and policy statements, as follows:

An agency action that purports to impose legally binding obligations or prohibitions on regulated parties – and that would be the basis for an enforcement action for violations of those obligations or requirements – is a legislative rule. . . . (As to interpretive rules, an agency action that merely interprets a prior statute or regulation, and does not itself purport to impose new obligations or prohibitions or requirements on regulated parties, is an interpretive rule.) **An agency action that merely explains how the agency will enforce a statute or regulation – in other words, how it will exercise its broad enforcement discretion or**

permitting discretion under some extant statute or rule – is a general statement of policy.³²

Indeed, a policy statement “merely represents an agency position with respect to how it will treat—typically enforce—that governing legal norm.”³³ Further, in *Sec. Indus. & Fin. Mkts. Ass’n*, the court found a policy statement was one that left the agency and its decision-makers free to exercise discretion, allowing a case-by-case approach to enforcement, and left the court satisfied that neither a staff member nor a market participant could reasonably construe it as setting forth binding norms.³⁴

WSC mischaracterizes the nature and intent of the requested policy statement, since it is not intended to provide a direct basis for FMC enforcement actions that could result in civil penalties for a violation of a legislative rule. Rather, the proposed policy statement is designed to provide a reasonable explanation of the FMC’s enforcement intentions through issued guidance, which would then be applied in the context of a future adjudication. Thus, a potential violation of the policy would still require an aggrieved party to bring a complaint at the FMC for adjudication of the specific facts and circumstances that may constitute a violation of § 41102(c) of the Shipping Act, and the FMC would maintain discretion as to how to apply the policy in any such proceeding.

WSC’s claim that the proposed policy would constitute a legislative rule is also based on its incorrect application of the first and fourth prongs of the test in *American Mining Congress v. Mine Safety & Health Administration*, 995 F.2d 1106 (D.C. Cir. 1993). WSC asserts the policy statement is legislative under the first prong because it creates new, enforceable obligations. This

³² *Sec. Indus. & Fin. Mkts. Ass’n v. U.S. Commodity Futures Trading Comm’n*, 67 F. Supp. 3d 373, 415 (D.D.C. 2014) (quoting *NMA*, 758 F.3d 243, 251 (D.C. Cir. 2014)) (emphasis added).

³³ *Id.* at 417 (quoting *Syncor Int’l Corp. v. Shalala*, 127 F.3d 90, 94 (D.C. Cir. 1997)).

³⁴ *Id.* at 418.

is incorrect. The desired policy does not create new, enforceable obligations. Congress already prohibits unjust and unreasonable cargo handling, storage, and delivery practices, including demurrage and detention practices, under § 41102(c). The desired policy statement simply clarifies certain unjust and unreasonable demurrage and detention practices that are likely to be prohibited in an adjudication based on the requirements of § 41102(c). As *American Mining* makes clear, “[a] rule does not . . . become [legislative] merely because it supplies crisper and more detailed lines than the authority being interpreted.”³⁵ WSC asserts that the desired rule is legislative under the first *American Mining* prong also because the Commission has never held that § 41102(c) prohibits demurrage or detention charges where the inability to pick up cargo or return equipment is not the shipper’s fault.³⁶ This assertion fails for two reasons. First, whether the desired policy statement is consistent with § 41102(c) is a separate issue from determining whether it is a legislative rule. In *American Mining*, the court stressed that deciding whether an agency is interpreting a legislative rule (or an interpretive rule) is different from deciding the substantive validity of that interpretation.³⁷ Second, it assumes that the Commission has had the opportunity to identify every regulation and practice that § 41102(c) prohibits.

WSC also claims that the desired rule is legislative under the fourth *American Mining* prong, because it seeks adoption of a previous legislative rule, i.e. the since repealed New York Port rules. Not only is WSC’s characterization of the substance of the policy statement false (since it does not precisely track the repealed New York Port rules), but the fourth prong asks only whether a rule amends, not adopts, a prior legislative rule. The distinction between adopting and amending a legislative rule is material. An amendment to a legislative rule must also be

³⁵ *Am. Mining Cong. v. Mine Safety & Health Admin.*, 995 F.2d 1106, 1112 (D.C. Cir. 1993).

³⁶ WSC Comments 10, n.3.

³⁷ *Am. Mining*, 995 F.2d at 1113.

legislative in order to have the same binding effect as the original legislative rule being amended. In contrast, citing to a prior legislative rule addressing free time and demurrage practices (and the circumstances resulting in adoption of that rule) to support adoption of the policy statement intended to address similar port congestion circumstances and free time, demurrage and detention practices does not require the policy statement to be a binding legislative rule.

The FMC has previously issued interpretive rules and statements of policy on at least three occasions.³⁸ In two cases, the FMC opened a formal rulemaking proceeding and used the public notice and comment procedures to adopt the interpretive rules.³⁹ In the third instance, the agency did not employ formal rulemaking procedures and simply published the interpretive rule in the Federal Register.⁴⁰ However, in this case, the Coalition has requested that the agency employ its more formal notice and comment rulemaking procedures to adopt the proposed policy statement, **even though such action is not required**. The Coalition's request for the agency to employ formal notice and comment rulemaking procedures was intended to ensure that the agency had the broadest possible input as it considers the Coalition's important request. Thus, the Commission is not obligated to use formal notice and comment rulemaking procedures to adopt a policy statement or interpretive rule, but may choose to do so (and has previously done so) in the exercise of its discretion.

³⁸ See 46 C.F.R. §§ 545.1-.3.

³⁹ See 46 C.F.R. §§ 545.1, .2.

⁴⁰ 46 C.F.R. § 545.3.

II. THE CURRENT REGULATORY REGIME DOES NOT PROVIDE ADEQUATE REMEDIES TO ADDRESS UNREASONABLE DEMURRAGE AND DETENTION PRACTICES.

Several of the commenters argue that the Commission should deny the Petition because the current regulatory regime provides adequate remedies.⁴¹ Expanding on this general point, some parties argue that the rule is unnecessary because some MTO schedules and carrier tariffs already provide for an extension of free time.⁴² Other comments contend that a rule is unnecessary because these matters are the subject of commercial negotiation.⁴³ Still other commenters maintain that the Commission's Office of Consumer Affairs and Dispute Resolution Services ("CADRS") is already available to resolve disputes and that aggrieved parties may file complaints with the Commission for conduct that violates the 1984 Act.⁴⁴

But the facts of the matter clearly indicate that that current remedies are **not** effective. While the Petition for Rulemaking pointed out that some marine terminal operators and ports have tariffs that allow for additional free time, other ports do not; and even those that do publish tariffs providing for additional free time, the tariffs are inconsistent and can be changed unilaterally at any time. Moreover, some ports automatically extend free time in certain circumstances, while others simply reserve the right to extend free time. Petition for Rulemaking at 6-10. As the Petition indicated, the Commission's own staff noted that "there is no generally

⁴¹ See West Coast MTO Agreement (WCMTOA) Comments 17-21; United States Maritime Alliance, Ltd. (USMA) Comments 9-10; National Association of Waterfront Employers (NAWE) Comments 11-13; Port of NY/NJ Sustainable Services Agreement ("PONYNJSSA") Comments 10-11; Pacific Merchant Shipping Association (PMSA) Comments 3; Ports America (PA) Comments 2, 4.

⁴² See, e.g., PONYNJSSA Comments 10; PA Comments 4; WCMTOA Comments 17; USMA Comments at 9.

⁴³ NAWE Comments 11; PA Comments 4; WCMTOA Comments 20; PMSA Comments 3-4.

⁴⁴ See, e.g., WCMTOA Comments 20-21; USMA Comments 9; PONYNJSSA Comments 11; NAWE Comments 11-12.

used formula to determine when the normal allowance for free time might be increased . . .”⁴⁵

Moreover, the record is clear that commercial negotiation does not solve the problems: the ability to negotiate an acceptable solution often takes many months, and often only after shippers, consignees and drayage providers are first forced to pay large demurrage charges up front to obtain the release of their cargo. And sometimes such a commercial “solution” is completely unavailable, especially for smaller shippers. Petition for Rulemaking at 14-19. The Commission’s CADRS Office is often effective only when both parties agree to seek the help of the agency, and the lack of any clear agency guidance makes the option of filing a complaint utterly infeasible. As the Petition explains, a clear FMC policy on demurrage and detention will assist the commercial resolution of such disputes, by providing parameters as to what constitutes “reasonable” demurrage and detention rules, and thus foster an efficient resolution of disputes and promote collaboration. Petition at 23. The current ambiguity of the agency’s policies simply encourages confusion, obfuscation, denial and delay.

III. RESPONDENTS ARE WRONG THAT THERE WILL BE HARMFUL UNINTENDED CONSEQUENCES IF THE POLICY STATEMENT IS ADOPTED.

In its Comments, WSC contends that the Petition for Rulemaking fails to acknowledge the “very real possibility” of unintended consequences that could accompany adoption of the requested relief.⁴⁶ WSC contends that the policy requested by the Coalition “may cause carriers and MTOs to limit free time,” and that implementation of the relief “would raise numerous practical issues about how such a regulation would be applied . . .”.⁴⁷ Other parties echo and

⁴⁵ *April 2015 Report*, *supra* note 21 at 24.

⁴⁶ WSC Comments 3, 17.

⁴⁷ WSC Comments 3, 16-17; *see also* PA Comments 16-17.

expand on WSC's arguments, contending for example that the requested rule would lead to increased congestion;⁴⁸ would create greater uncertainty;⁴⁹ and is impermissibly vague.⁵⁰

These sky-will-be-falling predictions should be rejected, for both legal and practical reasons. Regarding WSC's warning that carriers might choose to limit free time, the Petition for Rulemaking points out that free time is not a gratuity. Rather, it is part of the common carrier obligation and is included in the rates that the carrier charges for ocean transportation.⁵¹ Under that obligation, carriers must provide a reasonable period for loading and unloading.⁵²

The requested policy statement also will not lead to increased congestion. Indeed, one of the main reasons for the Commission to adopt the proposed policy statement is that it will **reduce** the serious and widespread congestion problems that have plagued the industry for the past several years. Under the present system, shippers, receivers and draymen have little or no power to influence a number of major causes of delays, such as labor stoppages. Nor can they create the fundamental solutions to port congestion, such as the need for increased capital expenditures to enable carriers and ports to better handle the loading and unloading of larger ships and to better deal with the weather events that will always eventually occur. Under the present system, the ability of carriers and MTOs to collect unreasonable demurrage and detention charges creates a **disincentive** for those parties to take actions to solve those problems – the “costs” of the problem are shifted to the parties that can do little or nothing to solve them, and the carriers and MTOs are “rewarded” for inaction.

⁴⁸ USMA Comments 10-11; PA Comments 13-15; PONYNJSSA Comments 13.

⁴⁹ PA Comments 1; USMA Comments 12.

⁵⁰ PA Reply 15-16; PONYNJSSA Comments 14.

⁵¹ Petition for Rulemaking 6-7 (citing *New York I*, 3 U.S.M.C. 89, 91 n.5, 101 (1948).

⁵² *Id.*

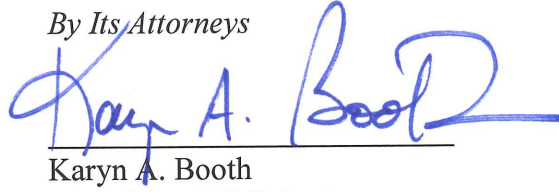
New rules or policies will always create some degree of uncertainty under some factual situation: that is the nature of any rule. But under the present regime there is no guidance whatsoever to the industry as to what constitutes “just and reasonable” demurrage and detention practices under § 41102(c). The complete lack of guidance from the regulatory agency charged with enforcing that requirement leaves commercial parties “at sea” – subject to uncertainty, delay, and the concomitant direct and indirect costs caused by that uncertainty. The Commission should give the industry needed guidance by issuing the proposed policy statement. As the Petition for Rulemaking explains, an FMC policy will **promote** the observance of reasonable demurrage and detention practices, will foster the efficient resolution of disputes, and will promote collaboration. Petition for Rulemaking at 22-23.

IV. CONCLUSION.

For the foregoing reasons, the Coalition respectfully requests that the Commission accept these Supplemental Comments in order to provide the Commission with a more complete and accurate record. Based the totality of the information in the record and the broad support for adoption of the proposed policy statement, the Commission should also grant the Coalition’s Petition for Rulemaking and open a proceeding allowing for additional industry input on the proposed policy statement.

Respectfully submitted,

By Its Attorneys

A handwritten signature in blue ink, appearing to read "Karyn A. Booth", is written over a horizontal line.

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